FREEDOM BROKER

Company Update

October 29, 2026 | 3:39 p.m. EDT

ServiceNow, Inc. (NOW)

Software

The AI Disintermediation Myth Busted as OpenAI Pact and $1.7B+ AI ACV Target Trump 4Q cRPO Deceleration; Raise PT to $140, Reiterate Buy

ServiceNow, Inc. (NOW) delivered solid operational results for FQ3'26, beating the high end of its guidance and consensus expectations across subscription revenue, operating margin, and contract commitments, supported by resilient demand for enterprise automation and generative AI products. However, modest pass-through of the quarterly beat into full-year guidance and an expected slowdown in current remaining performance obligations (cRPO) growth to 18.5% YoY in constant currency for FQ4'26 heightened investor caution regarding the durability of its medium-term growth trajectory. The market remains increasingly sensitive to macro-driven deal delays, gross margin dilution stemming from infrastructure costs associated with partner models, and transitory metric distortions during the transition to agentic architectures. We view the report as neutral to positive: the company's fundamental position as the central "Control Tower" for enterprise AI remains intact, although temporary deceleration in key leading revenue indicators caps near-term growth acceleration. Valuation previously reflected a discount for uncertainty surrounding potential software commoditization by foundation models (LLMs). The FQ3'26 print and the expanded strategic partnership with OpenAI demonstrate that ServiceNow is not being displaced by AI developers, but is cementing its role as an indispensable execution and audit layer ("Super Intelligence Control Tower"). Removing the "AI disruption" overhang and raising the target for AI ACV to $1.7bn+ warrant a return of the valuation multiple toward the upper end of the historical range for high-quality SaaS peers. We raise our price target from $120 to $140 and reiterate our Buy rating, as we believe prevailing share prices already discount most near-term risks.

In Q3'26, ServiceNow beat consensus estimates for total revenue and subscription revenue, but posted a slight miss on adjusted EPS due to front-loaded infrastructure and operating expenditures. Total revenue reached $4.11mn (+20.5% YoY, +2.9% QoQ), ahead of the FactSet consensus estimate of $4.09bn. Subscription revenue was $3.99bn (+21.0% YoY, +2.9% QoQ), essentially in line with consensus expectations of $3.980bn and above the high end of management's guidance range of $3.975bn–$3.980bn. In constant currency, subscription revenue increased 20.5% YoY, outpacing the top end of guidance by 50 bps. Professional services and other revenue totaled $118mn (+10.0% YoY, +7.3% QoQ), beating consensus of $114.5mn. Non-GAAP

Rating: Buy
Price Target: $140.00

Prev. PT: $120.00

Almas Almaganbetov
Analyst
almas.almaganbetov@fbroker.kz

Key Data

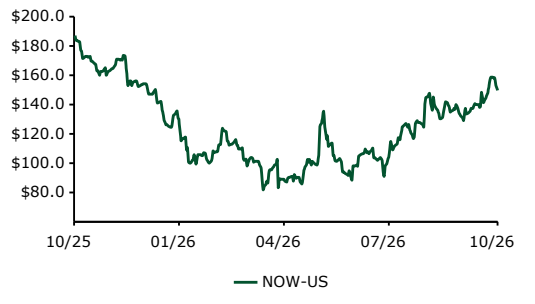
Price	$150.13
52-Week Range	$81.24- $192.97
Market Cap (M)	$155,234.42
Enterprise Value (M)	$159,064.56
Float (%)	99.1
Shares Outstanding (M)	1,034.00

Key Estimates

USD	Q4'26e	Q1'27e	Q2'27e	Q3'27e
Revenue (B)	4.36	4.50	4.73	4.86
Previous	4.36	4.49	4.71	4.83
EBIT (adj.) (B)	1.41	1.47	1.42	1.65
Previous	1.46	1.47	1.23	1.58
EPS (adj.)	1.08	1.15	1.12	1.28
Previous	1.20	1.20	1.03	1.29

USD	2026e	2027e	2028e
Revenue (B)	16.2	19.3	22.7
Previous	16.2	19.2	22.7
EBIT (adj.) (B)	5.12	6.28	7.55
Previous	5.10	6.08	7.55
EPS (adj.)	3.95	4.89	5.98
Previous	4.11	4.99	6.08

Chart



diluted EPS came in at $1.00 (+5.3% YoY, +11.1% QoQ), missing consensus of $1.02 by $0.02.

Technology Workflows (ITSM, ITOM, Asset Management, Security & Risk)

Technology Workflows remained the core distribution engine for the broader platform, contributing 54 large deals with net new ACV above $1mn each, including 6 transactions exceeding $5mn. IT Service Management (ITSM) was included in 11 of the top 20 enterprise deals in the quarter, with deal volume containing ITSM AI modules up nearly 80.0% YoY. IT Operations Management (ITOM) featured in 9 of the top 20 transactions, including 14 contracts over $1mn, while deal volume involving ITOM AI components grew more than 7x YoY. Asset Management surpassed $1bn in total ACV, participating in 13 of the top 20 agreements, and Security & Risk was part of 16 of the top 20 transactions, with net new ACV in the AI category up more than 4.5x YoY.

CRM and Industry Workflows

The CRM and Industry Workflows segment accelerated enterprise penetration, appearing in 13 of the top 20 flagship transactions, with total deals over $1mn reaching 28. The CRM AI product family saw strong customer traction: net new ACV tripled both sequentially (+200.0% QoQ) and YoY (+200.0% YoY). The industry portfolio expanded via a strategic partnership with the German Bundesliga, which consolidated fan support across seven digital channels into a unified ServiceNow CRM platform, cutting ticket volumes in half and resolving 89.0% of inquiries on first contact.

Core Business Workflows (HRSD, Procurement, Finance, Legal)

Core Business Workflows featured in 15 of the company's top 20 deals, generating 24 transactions with net new ACV exceeding $1mn each. Growth was led by HR Service Delivery (HRSD), where deal volume incorporating AI capabilities doubled (+100.0% YoY). The newly launched employee portal EmployeeWorks reached $100mn in ACV in less than three quarters since general availability.

Creator Workflows (App Engine, Workflow Data Fabric)

Creator Workflows demonstrated broad expansion across key enterprise accounts, participating in 19 of the top 20 contracts. Transactions over $1mn totaled 13, and net new ACV for App Engine AI expanded more than 4x YoY. The Action Fabric infrastructure supported rapid adoption of platform assists, with monthly consumption up 500.0% MoM.

Contract commitment metrics beat market expectations in Q3'26, highlighting strong multi-year commitment across the installed base and lengthening contract durations. Current remaining performance obligations (cRPO) ended the quarter at $13.65bn (+20.5% YoY, +3.4% QoQ), beating the StreetAccount consensus of $13.56bn and guidance of +19.5% YoY. In constant currency, cRPO growth was 21.0% YoY, 100 bps above guidance, while non-GAAP cRPO reached $13.72bn (+21.0% YoY). Total RPO reached $29.70bn (+22.0% YoY, +2.4% QoQ), ahead of consensus

at $29.27bn (+22.5% YoY in constant currency). Within the backlog structure, ~50 bps of annual subscription backlog growth was excluded from cRPO due to specific termination-for-convenience clauses inherited from acquired entities.

Large enterprise customers continued to expand platform consumption, maintaining elevated net revenue retention and broad multi-product adoption. Customers with annual contract value (ACV) over $5mn reached 680 (+23.0% YoY, +3.3% QoQ), matching consensus of 680. Over the trailing 12 months, 31 enterprise customers crossed $20mn in annual ACV. The renewal rate held steady at 98.0% (flat YoY, flat QoQ), underscoring high customer retention. Net new deals exceeding $5mn in ACV totaled 19 (+135.0% YoY), with customers purchasing six or more platform products in 19 of the top 20 transactions. AI-related deals over $1mn grew 4.5x YoY, and transactions spanning five or more AI solutions surged over 8.5x YoY.

Gross margin came under pressure from the growing share of partner cloud infrastructure deployments and production rollout costs for agentic systems, trailing market expectations. Non-GAAP gross profit reached $3.18bn (+15.2% YoY, +2.4% QoQ), translating into a gross margin of 77.5% (-350 bps YoY, -40 bps QoQ), 140 bps below the FactSet consensus estimate of 78.9%. Non-GAAP subscription gross profit was $3.20bn (+16.5% YoY, +2.2% QoQ), implying a subscription gross margin of 80.0% (-300 bps YoY, -60 bps QoQ), below investor expectations of 80.9%. Non-GAAP professional services gross margin came in at -20.0% (-3,100 bps YoY, -900 bps QoQ), significantly underperforming market expectations of +2.8%. Gross margin compression reflected investments in dedicated deployment engineering teams alongside expanded hyperscaler infrastructure footprint to support generative workloads.

Non-GAAP operating margin meaningfully beat consensus, driven by rigorous operational discipline, platform scale, and substantial internal efficiencies from dogfooding proprietary AI products. Non-GAAP operating income reached $1.34bn (+17.4% YoY, +13.4% QoQ), delivering an operating margin of 32.5% (-100 bps YoY, +310 bps QoQ). This outpaced the analyst consensus of 31.2% by 130 bps and topped company guidance of 31.0% by 150 bps. The primary outperformance drivers were operating leverage from subscription outperformance and internal efficiency gains via the "Now on Now" automation initiative.

Q3 cash generation reflected muted sequential momentum due to working capital timing and M&A integration outlays, trailing consensus expectations. GAAP operating cash flow was $839mn (+3.2% YoY, -41.1% QoQ), significantly below the FactSet consensus of $1.23bn. Capital expenditures totaled $91mn (-61.3% YoY, -44.5% QoQ), falling to 2.0% of total revenue versus 7.0% in the prior year. Non-GAAP free cash flow stood at $822mn (+38.9% YoY, -41.7% QoQ), representing an FCF margin of 20.0% (+250 bps YoY, -1,530 bps QoQ), missing consensus of $963mn. High-liquidity assets (cash, cash equivalents, and marketable securities) totaled $6.96bn (-29.4% YTD).

Corporate strategy is pivoting toward establishing a governed execution layer for enterprise artificial intelligence as the broader market transitions from initial experimentation to scaled production deployment. The prevailing enterprise environment is marked by heightened demand for governance, observability, and security across enterprise AI deployments. This creates favorable conditions for ServiceNow to solidify its position as the orchestration layer connecting diverse foundation models and AI agents with mission-critical workflows.

The cornerstone of this ecosystem expansion is the broadened partnership with OpenAI. The collaboration encompasses ChatGPT integration with the ServiceNow platform via Action Fabric, joint cybersecurity development powered by OpenAI models, and Codex integration into AI Workflow Factory. Crucially, ServiceNow retains full governance over workflow execution, enterprise context, access permissions, and business logic.

While the partnership is unlikely to act as a standalone near-term revenue catalyst in the coming quarter, it mitigates the existential risk of platform disintermediation from autonomous AI agents. By cementing ServiceNow's role as the connective fabric between AI models and business process execution, the alliance protects competitive moats and supports 20%+ YoY organic subscription revenue growth through 2027–2028.

Simultaneously, extensive internal deployment of proprietary automation algorithms generates over $1.0bn in annualized operational savings, streamlining administrative headcount while reallocating capital toward machine learning engineers and direct enterprise sales capacity.

Q4'26 management guidance matched market expectations for subscription revenue but outlined a noticeable deceleration in contract backlog growth, prompting a cautious investor reaction:

- Subscription revenue: $4.245bn–$4.255bn (+22.5%–23.0% YoY reported, +21.5% YoY in constant currency) vs. FactSet consensus of $4.25bn. Guidance incorporates an approximate 100 bps FX tailwind.
- Constant-currency cRPO growth: +18.5% YoY vs. consensus expectations of 19.5%–20.0% YoY. The sequential slowdown from FQ3 (21.0% YoY) and the consensus shortfall triggered investor pushback; however, management attributed the deceleration to technical drivers: pull-forward of early renewals into FQ3, higher on-premises mix in U.S. federal contracts (-25 bps), and the exclusion of termination-for-convenience (T4C) contracts (-50 bps).
- Non-GAAP operating margin: 32.0% vs. consensus of 33.6%, reflecting dilution from the Armis acquisition.
- Armis contribution: expected to contribute ~175 bps to constant-currency subscription revenue growth and ~175 bps to constant-currency cRPO growth, while diluting Non-GAAP operating

margin by ~75 bps.

Management raised full-year FY26 guidance for subscription revenue and free cash flow margin, demonstrating an ability to absorb integration expenses through capital efficiency:

- Subscription revenue: raised from $15.74bn–$15.78bn to $15.78bn–$15.79bn (+21% YoY in constant currency, +22.5% YoY reported, including an ~150 bps FX tailwind), above FactSet consensus of $15.77bn. Growth includes an ~125 bps contribution from Armis. The partial pass-through of the quarterly beat is due to ASC 606 revenue recognition: carving out dedicated AI implementation engineering teams for large clients shifts ~25 bps of growth in FQ3 and ~50 bps in FQ4 from subscription into professional services.

- Non-GAAP operating margin: maintained at 31.5% (+50 bps YoY), matching consensus expectations. Operating discipline and Now on Now savings fully offset the 75 bps headwind from Armis.

- FCF margin: raised by 100 bps to 36.0% (vs. prior guide of 35.0%), ahead of consensus at 35.0%. The increase is driven by lower capex (3% of revenue) reflecting high capital efficiency, more than offsetting the 200 bps headwind from the Armis integration.

- Subscription gross margin: guided to 81.0% (held at the previously lowered level, adjusted down 50 bps in prior quarters), below consensus of 81.5%. Pressure stems from hyperscaler mix and the Armis transaction (-25 bps).

- AI ACV target: raised for the second time this year from $1.0bn to over $1.7bn by year-end FY26 (+70% YTD), tracking ahead of schedule toward the 2030 target of 30% AI mix in total contract value.

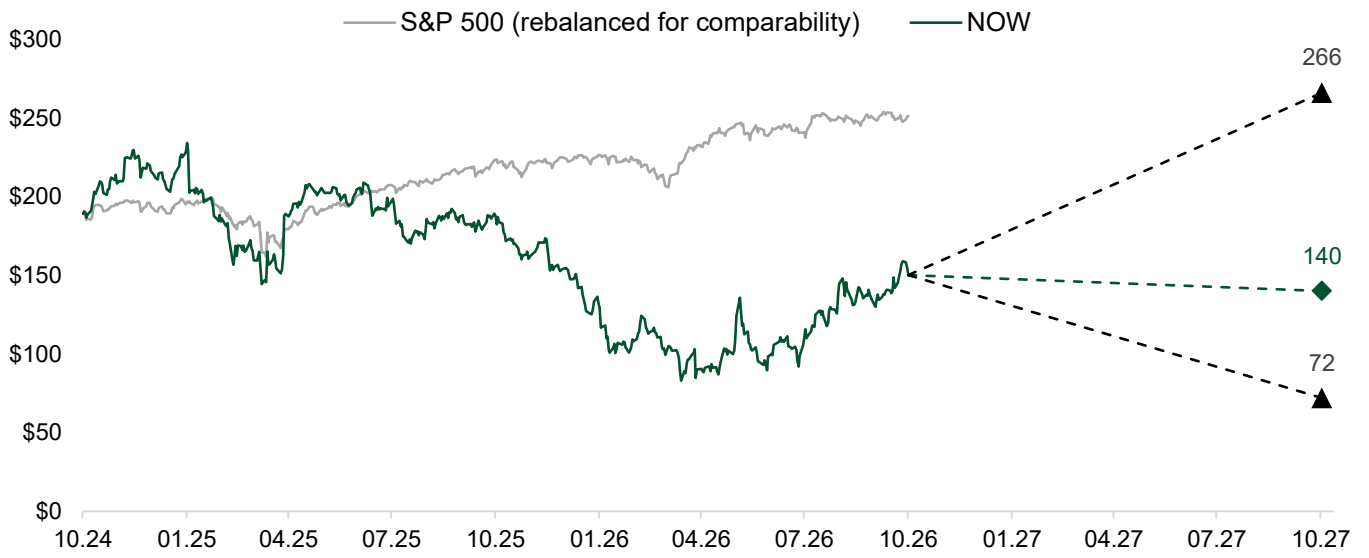
Model revisions: Modest reductions to our FY26–FY28 Non-GAAP EPS estimates reflect structural subscription gross margin headwinds from hyperscaler compute dependencies, execution costs for complex agentic workflows, and dilution from recent M&A (Armis and Veza), which exerts operating margin drag and increases intangible asset amortization. Consequently, our adjusted EPS forecast is revised from $4.11 to $3.95 for FY26, from $4.99 to $4.89 for FY27, and from $6.08 to $5.98 for FY28.

Valuation previously reflected a discount for uncertainty surrounding potential software commoditization by foundation models (LLMs). The Q3'26 report and the expanded strategic partnership with OpenAI demonstrate that ServiceNow is not being displaced by AI developers, but is cementing its role as an indispensable execution and audit layer ("Super Intelligence Control Tower"). Removing the "AI disruption" overhang and raising the target for AI ACV to $1.7bn+ warrant a return of the valuation multiple toward the upper end of the historical range for high-quality SaaS peers. We raise our price target from $120 to $140, implying a forward P/E of 28x on FY27 EPS. Given that

current share prices already discount most near-term risks, we reiterate our Buy rating.

The $140.00 price target versus the $110.00 previous close implies a +27.27% return. Annualized volatility, calculated from daily logarithmic returns over 27 Oct 2025–28 Oct 2026, is 58.38%. The implied return divided by annualized volatility produces an AR score of +0.47, which is above the +0.35 AR threshold and therefore supports a Buy rating. Historical market data used in the calculation are sourced from FactSet and LSEG Data & Analytics. For a detailed description of Freedom Broker's rating methodology, please refer to the disclosures and disclaimers section of this report.

Price History and Estimated Target



Source: FactSet

Note: green rhombus – Freedom Broker target price, black triangle – maximum and minimum price target by FactSet data.

Estimate for Key Figures (Quarterly)

$M, except EPS	TTM	NTM	Q4'26e	Q1'27e	Q2'27e	Q3'27e
Financial results						
Revenue	15,431	18,452	4,360	4,503	4,725	4,864
Gross profit	12,135	14,364	3,401	3,508	3,676	3,779
EBIT (adj.)	4,811	5,949	1,408	1,469	1,424	1,648
Net income (adj.)	3,940	4,861	1,137	1,204	1,171	1,350
EPS (adj.)	$3.79	$4.62	$1.08	$1.15	$1.12	$1.28

Estimate for Key Figures (Annual)

$M, except EPS	2024	2025	2026e	2027e	2028e	CAGR
Financial results						
Revenue	10,984	13,278	16,223	19,258	22,690	19.6%
Gross profit	9,077	10,761	12,671	14,972	17,549	17.7%
EBIT (adj.)	3,254	2,146	5,118	6,278	7,551	52.1%
Net income (adj.)	2,902	3,669	4,118	5,155	6,275	19.6%
EPS (adj.)	$13.92	$3.51	$3.95	$4.89	$5.98	19.4%

Note: e = Freedom Broker estimate.

Fiscal year ends in December.

Investment Thesis

ServiceNow remains an established technology leader in enterprise workflow digitization, unifying IT operations, cybersecurity, and generative AI into a secure ecosystem anchored by an attractive 36% free cash flow margin. However, the anticipated deceleration in current remaining performance obligations (cRPO) growth to 18.5% and structural gross margin compression from hyperscaler compute outlays warrant a balanced approach.

Key Catalysts

1. Scaling the Super Intelligence Control Tower architecture and commercializing agentic workflows provide direct monetization upside via a hybrid model based on token consumption and platform assist metering.

2. The expanded OpenAI partnership and the Control Tower Alliance reinforce the platform's positioning as an indispensable enterprise execution layer for third-party foundation models.

3. Expanding integrated cybersecurity and non-human identity management solutions (Armis and Veza) positions the company to consolidate fragmented enterprise security budgets.

4. Comprehensive internal deployment of proprietary software (Now on Now) provides structural operating leverage, generating over $1.0bn in annualized cost savings.

Key Risks

1. Deceleration in FQ4'26 cRPO growth to 18.5% YoY points to potential moderation in large enterprise multi-year contract velocity.

2. Structural compression in subscription gross margin driven by elevated compute costs from scaling agentic workflows and expanding partner hyperscaler footprints.

3. Integration friction and execution delays across large-scale acquisitions (including Armis and Veza), which could cause near-term dilution to operating margin and free cash flow.

4. Intensifying competitive pressure from foundation model providers and hyperscalers seeking to capture enterprise workflow automation spend.

Annex - Important Disclosures

Analyst Certification

Freedom Finance Global PLC (ffin.global) (“Freedom Broker”) prepared this Report. The analysts who contributed to this Report, Almas Almaganbetov, are employed by Freedom Broker, are not registered as Research Analysts with the Financial Industry Regulatory Authority (“FINRA”), may not be associated persons of Freedom Capital Markets, and therefore may not be subject to FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Prime Executions, Inc. (“Prime Executions”) d/b/a Freedom Capital Markets is a Member of New York Stock Exchange, FINRA, & SIPC, and a wholly owned subsidiary of Freedom Holding Corp. (NASDAQ: FRHC). Prime Executions, its affiliate Freedom Finance Global PLC (ffin.global) ("Freedom Broker"), in the territory of the Astana International Financial Centre (AIFC) in the Republic of Kazakhstan under License No. AFSA-A-LA-2020-0019 issued by the Astana Financial Services Authority, and other affiliates are referred to together as “FREEDOM” or the “Firm”.

To the extent a non-U.S. analyst(s) was involved in the preparation of this research report, whether in whole or in part, he or she is not registered/ qualified as a research analyst with FINRA. Any such non-U.S. analyst may not be an associated person of Freedom Capital Markets and therefore may not be subject to FINRA Rule 2241 and 2242 restrictions on communications with a subject company, public appearances and trading securities held in a research analyst account. By acceptance of this report, each investor agrees that it will not distribute or provide this report to any other person.

Conflicts of Interest

FREEDOM has a conflict of interest policy to ensure that all recipients of the investment research are treated fairly and not discriminated against. Neither the research analysts nor a member of the research analysts’ household is a director or officer of the companies discussed in the Report, and the research analysts have no conflicts of interest that would impair the objectivity of this Report. The research analysts, strategists, or research associates principally responsible for the preparation of this Report have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues but not specific to any investment banking revenues. Analysts’ performance related pay is based on both the accuracy and quality of their recommendations. Analysts are not permitted to accept gifts from issuers or other persons who have a material interest in the issuer for whom they conduct research and analysts are required to declare all outside interests. The cost and expenses of Investment Research, including the compensation of the analyst(s) that prepared this Report are paid out of the Firm’s total revenues, a portion of which may be generated through investment banking activities.

This Report and any recommendation contained herein speak only as of the date of this Report and are subject to change without notice. FREEDOM and its affiliated companies and employees shall have no obligation to update or amend any information or opinion contained in this Report, and the frequency of subsequent Reports, if any, remain in the discretion of the author and FREEDOM.

Stock Rating

FREEDOM analysts use a relative rating system in which they rate stocks as 1 – Buy, 2 – Hold, 3 – Sell, 4 – Not Rated (see definitions below). Investors should carefully read this entire Report, including the definitions of all ratings, and not infer its contents from ratings alone.

Effective November 1, 2024, **Freedom Capital Markets**' ratings system is below:

1 – Buy – The stock’s total return (price appreciation plus dividend yield) is expected to exceed more than 15% over the next 12-month investment horizon.

2 – Hold – The stock’s total return is expected to perform within a range of +14% to (-14%) over the next 12-month investment horizon.

3 – Sell – The stock’s total return is expected to decline more than 15% over the next 12-month investment horizon.

4 – Not Rated – In this case, Freedom Capital Markets has removed the rating and, if applicable, the price target, for this stock because of either a lack of a sufficient fundamental basis or for legal, regulatory or policy reasons. The previous rating and, if applicable, the price target, no longer should be relied upon. An NR designation is not a recommendation or a rating.

Freedom Broker’s Volatility-Adjusted Rating

Freedom Broker’s analysts employ a volatility-adjusted methodology for rating stocks (the “Volatility-Adjusted Rating”). Under this methodology, analysts assign ratings based on the relationship between the expected price return implied by the analyst’s 12-month price target and the stock’s historical annualized price volatility. This relationship is expressed through the Analyst Rating (“AR”).

Effective August 4, 2026, ratings assigned or reaffirmed in Freedom Broker research reports are determined under the rating system described below.

Ratings assigned or reaffirmed from March 12, 2025 through August 3, 2026 were determined under the prior rating system, under which a Buy rating required an AR greater than 1.2, a Hold rating applied when the AR was between −1.2 and 1.2, inclusive, and a Sell rating required an AR below −1.2. Historical ratings assigned or reaffirmed under the prior system should be interpreted using the thresholds applicable on the date of

the relevant research report and not the thresholds effective August 4, 2026. For the avoidance of doubt, daily logarithmic returns were used to calculate annualized historical volatility under the prior rating system, although this was not expressly stated in the prior disclosure.

For ratings assigned or reaffirmed on or after August 4, 2026, the following AR thresholds apply:

1 – Buy – The AR is greater than 0.35. This indicates that the expected price return implied by the analyst's price target exceeds the positive rating threshold after adjustment for the stock's historical annualized volatility.

2 – Hold – The AR is between −0.35 and 0.35, inclusive. This indicates that the expected price return implied by the analyst's price target is within a range considered neutral relative to the stock's historical annualized volatility.

3 – Sell – The AR is less than −0.35. This indicates that the expected price return implied by the analyst's price target falls below the negative rating threshold after adjustment for the stock's historical annualized volatility.

4 – Not Rated ("NR") – Freedom Broker has removed or has not assigned a rating and, if applicable, a price target for the stock because of a lack of a sufficient fundamental basis or for legal, regulatory, or policy reasons. A previous rating and, if applicable, a previous price target should no longer be relied upon. An NR designation is not a recommendation or a rating.

Freedom Broker's Analyst Rating Calculation Disclosure

The Analyst Rating ("AR") is calculated as follows:

Analyst Rating (AR) = Expected Price Return / Annualized Historical Volatility

1. Expected Price Return

Expected Price Return is calculated using the following formula:

Expected Price Return = (Price Target / Current Price) − 1

This figure represents the percentage price appreciation or decline implied by the analyst's 12-month price target relative to the stock's current market price.

2. Annualized Historical Volatility

Annualized Historical Volatility is calculated as follows:

Annualized Historical Volatility = Standard Deviation of Daily Logarithmic Returns × √252

For securities with at least 12 months of trading history, the calculation uses daily logarithmic returns over the preceding 12 months. If fewer than 12 months of trading history are available, the calculation uses all available daily price history. Volatility calculated using a shorter trading history may be less representative of the security's longer-term trading behavior.

Daily logarithmic returns are calculated as the natural logarithm of the ratio of the current trading day's closing price to the preceding trading day's closing price:

Daily Logarithmic Return = ln(Current Closing Price / Previous Closing Price)

The standard deviation of daily logarithmic returns is annualized by multiplying it by the square root of 252, representing the approximate number of trading days in a year.

Once calculated, the AR expresses the expected price return implied by the analyst's price target as a proportion of the stock's historical annualized volatility. The AR does not represent the probability that the stock will reach its price target. Historical volatility, particularly when calculated using a shorter trading history, may not be indicative of future volatility.

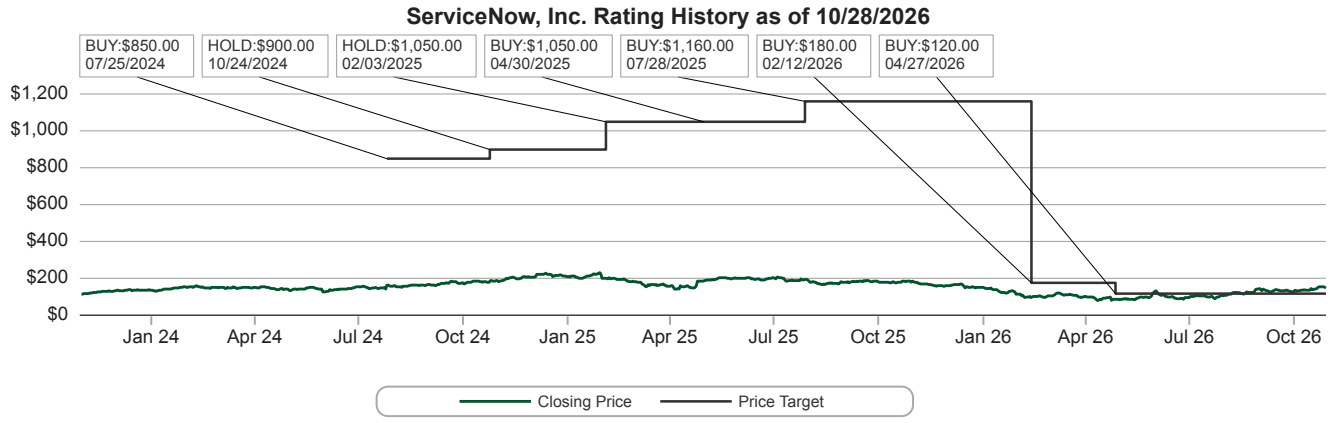
Ratings reflect the information and market conditions available as of the date of the relevant research report and are not automatically changed solely as a result of subsequent movements in the stock's market price. Investors should carefully review the entire Report, including the definitions of all ratings, and should not base investment decisions solely on a stock's stated rating.

DISTRIBUTION OF INVESTMENT RATINGS

The following shows (1) the distribution of investment ratings for all FREEDOM coverage universe stocks and (2) the proportions of stocks of each rating to which FREEDOM has provided investment banking (IB) services within the past 12 months (updated as of Oct 29 2026).

All Covered Companies:		**FREEDOM Provided Investment Banking Services in the Past 12 Months:**	
BUY	64.9%	BUY	0.0%
HOLD	30.0%	HOLD	0.0%
SELL	2.4%	SELL	0.0%
NOT RATED	2.6%	NOT RATED	0.0%

Please refer to the following URL for all relevant and current price charts and the history of changes in investment rating(s) and/or target price(s):
https://frhc.bluematrix.com/sellside/Disclosures.action



This Report contains forward-looking statements, which involve risks and uncertainties. FREEDOM has not independently verified the facts, assumptions and estimates contained in this Report.

SOME ANALYSTS MAY NOT HAVE OFFICIAL RATINGS. The Firm and any affiliates may offer an informal view as to the direction of a price trend in a group of stocks, industry, index, derivative or commodity and such view or description should never be interpreted or construed as any type of formal equity recommendation. It is possible that this informal view conflicts with the views of FREEDOM's trading desk and that of FREEDOM. Any view that we offer in the possible direction of any instrument cannot and should never be relied upon as any type of recommendation. The views in this Report should not be used as a basis for buying or selling any stock, group of stocks, industry, index, derivative or commodity. FREEDOM and its affiliates cannot be held liable for any actions, interpretations or consequence that might result in a loss. Any loss or other consequence arising from the use of this Report shall be your sole and exclusive responsibility and FREEDOM does not accept liability for any such loss or consequence.

Other Important Disclosures

Our research is disseminated primarily electronically and, in some cases, in printed form. Electronic research is simultaneously available to all clients. Individual consultations with our analysts may not be disseminated electronically by the Firm. All material presented in this Report, unless specifically indicated otherwise, is under copyright of FREEDOM. No part of this material may be (i) copied, photocopied or duplicated in any form by any means, or (ii) redistributed without prior written consent of FREEDOM.

Important Disclosures on Subject Companies

FREEDOM expects to receive or intends to seek compensation for investment banking services from the following subject company(ies) within the next 3 months: ServiceNow, Inc.

This Research Report ("Report") was prepared by Freedom Finance Global PLC (ffin.global) ("Freedom Broker"), which provides brokerage (agency) services in the securities market in the territory of the Astana International Financial Centre (AIFC) in the Republic of Kazakhstan under License No. AFSA-A-LA-2020-0019 issued by the Astana Financial Services Authority.

Freedom Broker is an affiliate of Prime Executions, Inc. ("Prime Executions"), A Member New York Stock Exchange, FINRA, & SIPC, and a wholly owned subsidiary of Freedom Holding Corp. (NASDAQ: FRHC). Prime Executions accepts responsibility for the content of Reports prepared by Freedom Broker when made available to U.S. persons other than Major U.S. Institutional Investors.

This Report is not a solicitation by Freedom Broker. Specifically, Freedom Broker does not do business with any individuals or entities that are domiciled in, or citizens of, the United States. Individuals or entities domiciled in, or citizens of, the United States that wish to effect transactions in securities discussed in this Report must do so through Prime Executions.

Freedom Finance Global PLC (ffin.global) ("Freedom Broker") prepared this Report. The analysts who contributed to this Report, Almas Almaganbetov, are employed by Freedom Broker, are not registered as Research Analysts with the Financial Industry Regulatory Authority ("FINRA"), may not be associated persons of Freedom Capital Markets, and therefore may not be subject to FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Investment Research Disclaimer

This Report is investment research. The Report is confidential and is solely for the use of those whom a member of FREEDOM directly distributes it. Neither the whole Report nor any part of it may be: reproduced to third parties; disclosed to, or used or relied upon by, any other person or used for any other purpose.

Neither the information contained in the Report or on which such Report is based (together, the “Information”) nor the opinions expressed herein constitutes, or is to be construed as, an offer or invitation or other solicitation or recommendation to buy or sell investments. The Information is based on various sources which we believe to be reliable. However, such Information has not been independently verified by FREEDOM and accordingly, neither FREEDOM nor its affiliates make any representation or warranty, express or implied, with respect to the accuracy or completeness of the Information or that the Information remains unchanged after the issue of this Report (including, without limitation, that the research on the subject company is withdrawn).

No reliance may be placed for any purpose whatsoever on the Information, representations, estimates or opinions. Any projections, opinions, forecasts or estimates in this Report are those of the author only; they reflect only current views of the author and are subject to change without notice.

In preparing this report, artificial intelligence (“AI”) tools may have been used to assist with data analysis, pattern recognition and drafting the report. All AI-assisted content was reviewed, edited, and verified by the research analysts, who are solely responsible for the content of this report.

Salespeople and traders of FREEDOM and other professionals may provide oral or written market commentary or trading strategies to our clients and our proprietary trading desks that reflect opinions that are contrary to the opinions expressed in this Report.

The investments discussed in this Report (together, the “Investments”; each an “Investment”) are not suitable for all investors and this Report does not take into account the recipients’ suitability requirements or investment risk appetite. You should make your own investment decisions based upon your own financial objectives and financial resources and it should be noted that investment involves risk. You should consider this Report as only a single factor in making your investment decision. Any decision to purchase any Investment must take into account existing public information on the relevant Investment or any registered prospectus. Please note that past performance is not necessarily a guide to future performance and an investor may not get back the amount originally invested.

Where an investment is made in currencies other than the currency of the Investments, movements in exchange rates will have an effect on the value, either favorable or unfavorable. In the event of any doubt about any investment, you should contact your own investment, legal, and/or tax advisers to seek advice regarding the appropriateness of investing.

Any loss or other consequence arising from the use of this Report shall be your sole and exclusive responsibility and FREEDOM does not accept liability for any such loss or consequence.

In the event this Report is sent to you by a party other than FREEDOM, please note that the contents may have been altered from the original, or comments may have been added, which may not be the opinions or views of FREEDOM. In such case, FREEDOM is not responsible for this amended Report.

Certain affiliates of Prime Executions may have a long or short position in any securities of the issuer or in related investments.

The analysis and recommendations contained herein are the opinion of the research analysts writing the Report (or the research department) and may not be reflective of the opinion of FREEDOM or any of its associated non-research personnel. Freedom Capital Markets is the investment banking and equity capital markets arm of Prime Executions, Inc., a Member New York Stock Exchange, FINRA, & SIPC, and a wholly owned subsidiary of Freedom Holding Corp. (NASDAQ: FRHC).

For the Investments in which FREEDOM is a market maker, FREEDOM may provide bids and offers and may act as principal or in a riskless principal capacity in connection with such transactions. FREEDOM may act as agent in the traded financial instruments linked to Investment that may have been recommended in this Report; it may, at any time, hold a trading position (long or short) in the shares of the companies discussed in this Report and may engage in Investments in a manner inconsistent with this Report and, with respect to Investment, may buy or sell from customers on a riskless principal or agency basis.

Country-specific Disclaimers

Kazakhstan

Freedom Finance Global PLC ("Freedom Broker") (hereinafter referred to as the "Company") provides brokerage (agency) services in securities market of the Astana International Financial Centre (AIFC) in the Republic of Kazakhstan. In accordance with requirements, conditions, restrictions, and/or guidelines of applicable AIFC legislation, the Company is authorized to carry out the following regulated activities under License No. AFSA-A-LA-2020-0019: investment transactions as a principal, investment transactions as an agent, investment management, management of a collective investment scheme, providing investment consulting and arranging transactions in investments.

This section contains information and materials, which are provided to the Company’s clients for informational and reference purposes only. These materials and information do not constitute individual investment advice, an offer or an invitation to invest in shares of any companies.

The materials presented in this document have purely informational nature concerning the subject of investment research (hereinafter referred to as the "Issuer") and are addressed to the Company's current and potential retail clients. The information contained in this document has been obtained from public open sources and is deemed reliable by the author(s). However, the author(s) makes no guarantees or warranties, obvious or implied, regarding to its accuracy or completeness.

This document shall not be considered as a basis for making investment decisions by individuals or legal entities. These materials do not constitute investment advice, nor are they an offer or a call to buy or sell securities. Ownership of securities and other financial instruments always involves risks: the value of securities and other financial instruments may rise or fall. Past investments do not guarantee future incomes. In accordance with applicable legislation, the Company neither guarantees nor promises future investment returns and does not provide assurances regarding the reliability of potential investments or the stability of prospective income levels.

Disclosure of Information

• The author(s) of this report or their family members have no financial interest in the Issuer's securities.

• The author(s) of this report or their family members are not aware of any conflicts of interest that could have an influence on the content or publication of this report.

• The author(s) of this report or their family members do not hold a sufficient quantity of the Issuer's securities in their personal portfolios for the purpose of significant influence on stock prices in the event of their sale.

• The reporting structure and remuneration of the author(s) do not create a conflict of interest.

• The Company and its affiliated persons or related parties do not hold 1% or more of the total issued share capital of the Issuer.

• The Company and its affiliated persons or related parties do not act as corporate brokers for the Issuer.

• The Issuer does not hold a significant volume of shares of participation in the Company.

• The Company may act as a market maker in relation to the Issuer's shares. A detailed list of financial instruments is outlined on the Kazakhstan Stock Exchange website and is available via this link: https://kase.kz/ru/membership/SEVEN/

European Union

Information and analytical services, along with materials, are provided by Freedom Finance Europe Ltd (hereinafter referred to as "FFE") as part of the specified services and are not offered as an independent activity. FFE reserves the right to refuse service to individuals who do not meet the client criteria or are subject to bans or restrictions on such services under European Union law. Additional restrictions may also be enforced based on the FFE's internal procedures and controls.

FFE provides financial services in the European Union in accordance with license CIF 275/15 for all types of activities required by FFE as granted by the Cyprus Securities and Exchange Commission (CySEC) on May 20, 2015.

Disclaimer: Additional information is available upon request. Investing in securities and other financial instruments always involves the risk of capital loss. The client must personally acknowledge this, including by reading the Risk Disclosure Notice. Opinions and estimates represent our judgments as of the date hereof and are subject to change without notice. Fees, charges and other expenses may reduce the financial performance of your investment. Past performance is not a reliable indicator of future results, and the value of investments may go up or down, potentially resulting in losses. There is no guarantee of future returns. This material is not intended to be an offer or solicitation to buy or sell any financial instrument. The opinions and recommendations provided herein do not consider any individual circumstances, goals or needs of the client and do not constitute an investment advisory service. Recipients of this report must make their own independent decisions in relation to any securities or financial instruments referred to herein. It is important to seek professional financial advice before making any investments, as this may lead to a strategic, well-informed approach that minimizes risks and maximizes long-term financial growth. We strongly recommend conducting thorough research and consulting with an independent financial advisor before making any investment decisions. The information has been obtained from sources that FFE believes to be reliable; its affiliates and/or subsidiaries do not guarantee completeness or accuracy of such information, save for disclosures related to FFE and/or its affiliates/agents and analyst's interactions with the issuer being the subject of research. All prices provided are indicative closing prices for the relevant securities, unless explicitly stated otherwise.

FFE may trade the financial instruments referenced in this material as a counterparty or liquidity provider. However, all recommendations and information provided in this research report are independent and unaffected by FFE's trading positions. We take all necessary measures to prevent conflicts of interest and uphold the objectivity of the information provided.

Uzbekistan

This report has been prepared by analysts of FREEDOM or an affiliate of Freedom Finance Foreign Enterprise Limited Liability Partnership (hereinafter referred to as the "FFFE"). Each analyst confirms that opinions and conclusions presented in this report regarding to securities or issuers reflect their personal point of view only. All recommendations and opinions presented in this report are current as of the publication date and have been prepared with maximum effort to ensure accuracy, completeness, and reliability.

This report has been prepared independently of the FFFE, and all opinions and recommendations expressed herein are based on information available at the time of its preparation. Despite the measures taken to ensure the accuracy, completeness and reliability of the information provided, neither the analysts, FFFE, nor its directors or employees can guarantee absolute accuracy, completeness or reliability of the information. This report has been prepared taking into account the limitations and risks, which are inherent to the analysis of securities and financial markets and shall not be considered as an accurate prediction of future market conditions.

FFFE, its employees, analysts, directors, and associated parties shall not be responsible for any losses or consequences resulting from the use of the information provided in this report for making investment decisions. The information contained in this report does not constitute an offer or recommendation to buy, sell, or otherwise dispose of securities. This report does not represent an assessment of the value of a business, its assets or its securities and can not be considered as a basis for making investment decisions.

Past performance of securities or markets is not a guarantee of future performance. The selection of securities for investment, as well as the potential consequences is solely the risk of investor.

FFFE, its employees, analysts and directors act in strict compliance with applicable legal requirements and standards of professional activity in the securities market. All materials in this report do not guarantee profit or constitute specific investment advice. The selection of securities for investment and its consequences are solely the risk of investor, who shall make decisions carefully, taking into account all risks associated with investments in the securities market.

United Arab Emirates

This Report is distributed in and from the Abu Dhabi Global Market ("**ADGM**") by Freedom Broker Global Markets Ltd ("**FBGM**"), a company incorporated in the ADGM (registration No. 25613) and authorised and regulated by the Financial Services Regulatory Authority of the ADGM (the "**FSRA**") under Financial Services Permission No. 250006. FBGM and Freedom Broker are affiliates, each being an indirect subsidiary of Freedom Holding Corp. (NASDAQ: FRHC). For the purposes of distribution in or from the ADGM, references in the disclosures contained in this Report to FREEDOM, the Firm or the Company include FBGM and its Associates (as defined in the FSRA Glossary Rulebook) only where the context relates to such ADGM distribution.

This Report was prepared solely by Freedom Finance Global PLC and the analysts named herein. FBGM is a separate legal entity, did not participate in the preparation, review or independent verification of this Report, is not the author of the research contained herein and makes no representation or warranty, express or implied, as to the accuracy or completeness of the information contained herein. To the fullest extent permitted by applicable law, FBGM accepts no liability for any loss or other consequence arising from the use of this Report; nothing in this Report excludes or restricts any duty or liability which FBGM may have under the ADGM Founding Law, the Financial Services and Markets Regulations 2015 or the rules of the FSRA.

When distributing in or from the ADGM, this Report is directed only at Persons who meet the criteria of Professional Clients or Market Counterparties as defined in the FSRA Conduct of Business Rulebook. It is not directed at any other Person, and no other Person should act upon it; in particular, it must not be relied upon by or distributed to Retail Clients. For the purposes of distribution in or from the ADGM, this section prevails over any other statement in this Report regarding the persons to whom this Report is addressed or the categories of recipients who may receive or rely on it. By accepting this Report, the recipient represents that it is a Professional Client or a Market Counterparty and agrees not to distribute this Report to any other Person.

This Report has not been reviewed, verified or approved by the FSRA or any other regulatory authority, and the FSRA accepts no responsibility for its contents. This Report is provided for information purposes only and does not constitute legal or tax advice, personal investment advice, a personal recommendation or an offer, solicitation or invitation to buy or sell any securities or other financial instruments. Trading in financial instruments involves a high degree of risk, including the risk of losing the entire invested capital; the value of investments and any income from them may fall as well as rise, and past performance is not a reliable indicator of future results. Recipients should make their own assessment of the merits and risks of any transaction and, where appropriate, obtain independent professional advice. Recipients in the ADGM should direct any queries regarding this Report to FBGM.

Outside the ADGM, this Report is not directed at any person in the United Arab Emirates. FBGM is not licensed by the UAE Capital Market Authority (the "**CMA**") or by the Central Bank of the UAE. This Report has not been approved by, filed with or registered with the CMA, the Central Bank of the UAE or any other authority in the UAE outside the ADGM, does not constitute a promotion, offering or distribution of securities or financial products in the UAE outside the ADGM and must not be relied upon by any person in the UAE other than in circumstances permitted by applicable UAE law.

The distribution of this Report in other jurisdictions, including elsewhere in the Middle East and North Africa, may be restricted by law. This Report is not directed at, and is not intended for distribution to or use by any person in any jurisdiction where such distribution or use would be contrary to applicable law or regulation or would subject FBGM or any of its affiliates to any registration or licensing requirement. Persons into whose possession this Report comes are required to inform themselves about, and to observe, any such restrictions.